

8-7 Reporting Receivables on the Balance Sheet

All receivables that are expected to be realized in cash within a year are reported in the “Current assets” section of the balance sheet. Current assets are normally reported in the order of their liquidity, beginning with cash and cash equivalents.

Objective 7 - Describe the reporting of receivables on the balance sheet.

The balance sheet presentation for receivables for **Under Armour (UAA)** follows:

Link to Under Armour

Under Armour, Inc. Balance Sheet December 31 (In thousands)		
Assets		
Current assets:		
Cash and cash equivalents.		\$788,072
Accounts receivable, net		708,714
Notes to Financial Statements:		
<i>Allowance for Doubtful Accounts</i>		
The company makes ongoing estimates relating to the collectability of accounts receivable and maintains an allowance for estimated losses resulting from the inability of our customers to make required payments. ... As of December 31, the allowance for doubtful accounts was \$15.1 million.		
<i>Source: Under Armour, Form 10-K for a Recent Year Ended December 31 (adapted).</i>		

In Under Armour’s financial statements, accounts receivable is reported at the net realizable value on the balance sheet with a note showing the amount of the allowance for doubtful accounts. A company may choose to subtract the allowance for doubtful accounts from accounts receivable on the balance sheet to report the net realizable value of receivables.

Other disclosures, such as unusual credit risks within the receivables, are reported in the financial statement notes. For example, if the majority of the receivables are due from one customer or are due from customers located in one area of the country or one industry, these facts are disclosed.

Accounts Receivable Turnover and Days' Sales in Receivables

Two financial measures that are useful in evaluating efficiency in collecting receivables are the following:

- accounts receivable turnover
- days' sales in receivables

Objective 8 - Describe and illustrate the use of the accounts receivable turnover and days' sales in receivables to evaluate a company's efficiency in collecting its receivables.

The

accounts receivable turnover (A measure of how frequently during the year the accounts receivable are being converted to cash, computed as sales divided by average accounts receivable.)

measures how frequently during the year the accounts receivable are being converted to cash. For example, with credit terms of n/30, the accounts receivable should turn over about 12 times per year.

The accounts receivable turnover is computed as follows:

$$\text{Accounts Receivable Turnover} = \frac{\text{Sales}}{\text{Average Accounts Receivable}}$$

The average accounts receivable can be determined by adding the beginning and ending accounts receivable balances and dividing by 2. For example, consider the following financial data (in millions) for **Under Armour, Inc. (UAA)**:

	Year 2	Year 1
Sales	\$5,267	\$5,193
Accounts receivable:		
Beginning of year	653	610
End of year	709	653

The accounts receivable turnover for Years 1 and 2 can be computed as follows (rounding to one decimal place):

$$\begin{aligned}\text{Accounts Receivable Turnover, Year 1} &= \frac{\$5,193}{(\$610 + \$653) \div 2} \\ &= \frac{\$5,193}{\$631.5} = 8.2\end{aligned}$$

$$\begin{aligned}\text{Accounts Receivable Turnover, Year 2} &= \frac{\$5,267}{(\$653 + \$709) \div 2} \\ &= \frac{\$5,267}{\$681} = 7.7\end{aligned}$$

The accounts receivable turnover has declined in Year 2. This suggests that Under Armour is allowing customers to take longer to pay their accounts.

The

days' sales in receivables (An estimate of the length of time the accounts receivable have been outstanding, computed as average accounts receivable divided by average daily sales.)

is an estimate of the length of time the accounts receivable have been outstanding. With credit terms of n/30, the days' sales in receivables should be about 30 days. It is computed as follows:

$$\text{Days' Sales in Receivables} = \frac{\text{Average Accounts Receivable}}{\text{Average Daily Sales}}$$

Average daily sales are determined by dividing sales by 365 days. For example, using the preceding data for Under Armour, the days' sales in receivables for Years 1 and 2 is computed as follows (rounding all computations to one decimal place):

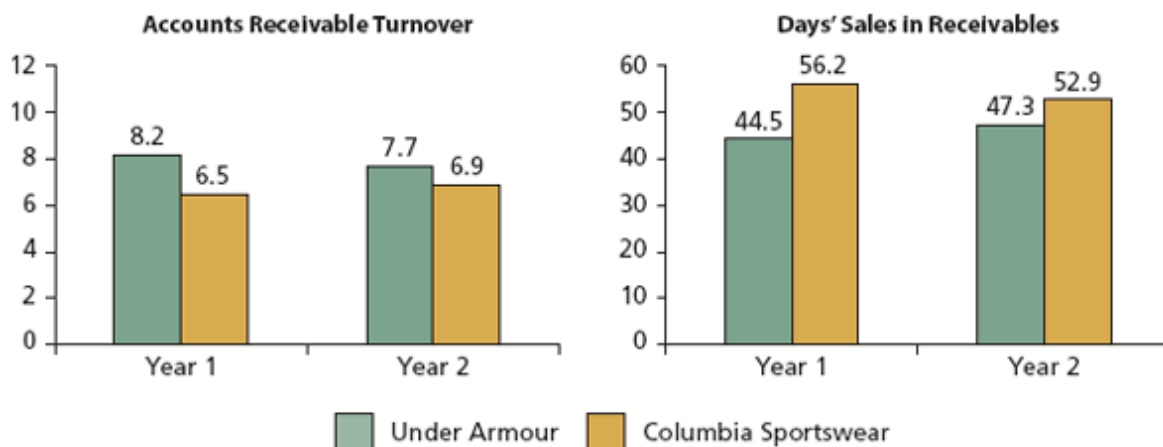
$$\begin{aligned}\text{Days' Sales in Receivables, Year 1} &= \frac{\$631.5}{\$5,193 \div 365 \text{ days}} \\ &= \frac{\$631.5}{\$14.2 \text{ per day}} = 44.4 \text{ days}\end{aligned}$$

$$\begin{aligned}\text{Days' Sales in Receivables, Year 2} &= \frac{\$681}{\$5,267 \div 365 \text{ days}} \\ &= \frac{\$681}{\$14.4 \text{ per day}} = 47.3 \text{ days}\end{aligned}$$

The days' sales in receivables confirms that Under Armour's efficiency in collecting accounts receivable declined from Year 1 to Year 2. Lengthening the credit terms or selling in markets where longer credit terms are standard could cause this decline. The efficiency in collecting accounts receivable has declined when the accounts receivable turnover decreases or the days' sales in receivables increases.

The efficiency in collecting accounts receivable can be compared across companies in similar industries. For example, the accounts receivable turnover and days' sales in receivables for Under Armour can be compared to a competitor, such as **Columbia Sportswear Company (COLM)**, as shown in [Exhibit 8](#).

Accounts Receivable Turnover and Days' Sales in Receivables for under Armour and Columbia Sportswear



In this analysis, Under Armour is more efficient in collecting accounts receivable than is Columbia Sportswear.

Make a Decision

Accounts Receivable Turnover and Days' Sales in Receivables

Analyze and compare Amazon.com to Best Buy (MAD 8-1) (Continuing company analysis)

Analyze Ralph Lauren (MAD 8-2)

Analyze L Brands (MAD 8-3)

Compare Ralph Lauren and L Brands (MAD 8-4)

Analyze DISH Network (MAD 8-5)